Lloyds Financial (Training Scenario)

Standard Operating Procedure: Residential Mortgage Lending Decisions

Document ID: SOP-MTG-014 | This is synthetic training content, not a real policy.

1. Purpose and Scope

This SOP governs how a mortgage underwriter reaches a lending decision for a standard residential mortgage application submitted through Lloyds Financial's branch or digital channels. It does not cover buy-to-let, commercial, or bridging lending.

2. Eligibility Checks

The applicant must be a UK resident aged 18 or over. The minimum deposit is 10% of the property value for a standard residential mortgage. The maximum loan-to-value (LTV) is 90% for standard applicants, rising to 95% under the assisted first-time-buyer scheme for applicants who have never owned a residential property.

3. Affordability Assessment

The maximum loan amount is capped at 4.5 times sole or joint annual gross income. A stress-tested affordability check is applied at the Bank of England base rate plus 3 percentage points. Existing unsecured debt repayments are deducted from usable income before the income multiple is applied.

4. Term and Rate Options

Standard mortgage terms range from 5 to 35 years. Fixed-rate products are available for 2, 3, 5, or 10-year initial periods. Early repayment charges apply during the fixed-rate period, typically 1% to 5% of the outstanding balance depending on the product selected.

5. Documentation Required

Underwriters must obtain three months of payslips, or two years of accounts for self-employed applicants; three months of bank statements; and proof of deposit source (savings, a gift letter, or evidence of a property sale).

6. Escalation

Any application requesting an LTV above 95%, or an income multiple above 4.5x, must be escalated to a senior underwriter for manual review before a decision is communicated to the applicant.